

EPC CONTRACT FOR 33/11kV SUBSTATION WORKS

Dated 20th May, 2024

This EPC Contract is executed between Meridian Infra Projects Limited ("Owner") and Konkast Engineering & Construction Private Limited ("Contractor") for engineering, procurement and construction of four 33/11kV substations and associated transmission works at the Claimant's industrial park.

CLAUSE 1 -- SCOPE OF WORK

The Contractor shall execute the engineering, procurement and construction of four 33/11kV substations and associated transmission works at the Owner's industrial park, strictly in accordance with the technical specifications set out in Annexure I and the drawings approved by the Owner's Engineer.

CLAUSE 2 -- DEFINITIONS AND INTERPRETATION

In this Contract, "Effective Date" means the date of execution hereof; "Engineer" means the Owner's Engineer-in-Charge notified from time to time; "RA Bill" means a running account bill submitted by the Contractor for certification of work executed; and "Substantial Completion" means the stage at which a substation is ready for energisation.

CLAUSE 3 -- CONTRACT DOCUMENTS AND PRECEDENCE

This Contract comprises this Agreement, the General and Special Conditions of Contract, the Technical Specifications, the Price Schedule and any duly issued variation orders, which shall be read together and, in the event of conflict, shall take precedence in the order listed.

CLAUSE 4 -- EFFECTIVE DATE AND CONTRACT PERIOD

This Contract shall come into effect on the date of execution and the works shall be completed within eighteen months therefrom, time being of the essence, subject to extensions granted under Clause 17 (Force Majeure).

CLAUSE 5 -- CONTRACTOR'S OBLIGATIONS

The Contractor shall mobilise adequate manpower, plant and materials, execute the works with due care and diligence in accordance with good engineering practice, and comply with all applicable safety and statutory requirements at the site.

CLAUSE 6 -- OWNER'S OBLIGATIONS

The Owner shall provide timely and unimpeded access to the site, including handover of each substation location free from encumbrance, and shall make payments against certified RA Bills in accordance with Clause 12.

CLAUSE 7 -- DESIGN AND ENGINEERING

The Contractor shall submit detailed design drawings for each substation for the Engineer's approval prior to commencement of construction at that location, and shall carry out any revisions directed by the Engineer at no additional cost where such revisions arise from non-conformance with the agreed specifications.

CLAUSE 8 -- PROCUREMENT AND QUALITY

All equipment and materials procured for the works shall conform to the specifications at Annexure I and shall be subject to inspection and testing by the Engineer or his authorised representative prior to installation.

CLAUSE 9 -- PERFORMANCE SECURITY

The Contractor shall furnish an unconditional and irrevocable Performance Bank Guarantee equal to 10% of the Contract Value, valid for the Contract Period plus the Defects Liability Period, encashable by the Owner on certified default by the Contractor after notice.

CLAUSE 10 -- INSURANCE

The Contractor shall maintain Contractor's All Risk insurance and third-party liability insurance for the duration of the works, with the Owner named as co-insured, and shall furnish certificates of such insurance to the Owner prior to mobilisation.

CLAUSE 11 -- TESTING AND COMMISSIONING

Each substation shall be subject to pre-commissioning tests witnessed by the Engineer, and shall be deemed Substantially Complete only upon successful energisation and issuance of a Taking-Over Certificate by the Owner.

CLAUSE 12 -- CONTRACT VALUE AND PAYMENT TERMS

The total Contract Value is Rs. 18,60,00,000, with an advance of Rs. 3,72,00,000 payable on execution against a bank guarantee for equivalent value, and the balance payable against monthly RA Bills certified by the Owner's Engineer, subject to 5% retention released upon issuance of the Defects Liability Certificate.

CLAUSE 13 -- VARIATIONS

The Owner may direct variations to the scope of work by a written variation order specifying the change and its valuation; no claim for additional payment shall lie in respect of work executed otherwise than pursuant to a written variation order or express written instruction of the Engineer.

CLAUSE 14 -- DEFECTS LIABILITY PERIOD

The Contractor shall remedy, at its own cost, any defect notified by the Owner within twelve months of Substantial Completion of the relevant substation, failing which the Owner may rectify the defect and recover the cost from the Contractor, including from the Performance Security.

CLAUSE 15 -- INDEMNITY

The Contractor shall indemnify the Owner against any loss, damage or claim arising from the Contractor's negligence, breach of statutory duty or defective work in the execution of the works.

CLAUSE 16 -- TERMINATION

The Owner may terminate this Contract upon material breach by the Contractor that remains uncured for thirty days after written notice, and may thereupon complete the balance works through a third party at the Contractor's risk and cost.

CLAUSE 17 -- FORCE MAJEURE

Neither party shall be liable for delay or failure in performance caused by events beyond its reasonable control, provided that the affected party gives prompt written notice and the Contract Period is extended by the period of such event.

CLAUSE 18 -- CONFIDENTIALITY

Each party shall keep confidential the drawings, pricing and technical information exchanged under this Contract and shall not disclose the same to any third party save as required by law.

CLAUSE 19 -- ASSIGNMENT AND SUBCONTRACTING

Neither party may assign its rights or obligations under this Contract without the prior written

consent of the other; the Contractor may subcontract discrete portions of the works with the Owner's prior written approval, but shall remain fully responsible for the subcontracted work.

CLAUSE 20 -- NOTICES

All notices under this Contract shall be in writing and deemed duly served if delivered by hand, registered post or e-mail to the addresses of the parties set out in this Agreement.

CLAUSE 21 -- GOVERNING LAW

This Contract shall be governed by and construed in accordance with the laws of India.

CLAUSE 22 -- DELAY DAMAGES

For delay attributable to the Contractor beyond the agreed milestones, the Contractor shall be liable to pay damages at 0.5% of the delayed portion's value per week of delay, subject to a cap of 7.5% of the Contract Value, as a genuine pre-estimate of loss and not by way of penalty.

CLAUSE 23 -- TAXES AND DUTIES

All taxes, duties and levies applicable to the works shall be borne by the Contractor, save GST which shall be charged separately in accordance with law and reimbursed by the Owner on production of a valid tax invoice.

CLAUSE 24 -- CHANGE IN LAW

In the event of a change in applicable law after the Effective Date that materially increases the Contractor's cost of performance, the parties shall negotiate in good faith an appropriate adjustment to the Contract Value.

CLAUSE 25 -- ENTIRE AGREEMENT

This Contract, together with its Annexures and any duly issued variation orders, constitutes the entire understanding between the parties and supersedes all prior negotiations and correspondence on the subject matter hereof.

CLAUSE 26 -- SEVERABILITY

If any provision of this Contract is held invalid or unenforceable, the remaining provisions shall continue in full force and effect.

CLAUSE 27 -- WAIVER

No failure or delay by either party in exercising any right under this Contract shall operate as a waiver thereof.

CLAUSE 28 -- DISPUTE RESOLUTION

28.1 The parties shall first attempt amicable settlement of any dispute arising out of or in connection with this Contract. 28.2 Failing settlement within 30 days of a written notice, the dispute shall be referred to and finally resolved by arbitration under the Arbitration and Conciliation Act, 1996, by a sole arbitrator appointed in accordance with the said Act, the seat and venue of arbitration being New Delhi, and the language of arbitration being English.

IN WITNESS WHEREOF the parties have executed this Contract on the date first above written.

For Meridian Infra Projects Limited

For Konkast Engineering & Construction Private Limited